CITY OF OXNARD CALIFORNIA

CITY COUNCIL AGENDA REPORT

REPORTS
AGENDA ITEM NO. N.6

DATE: June 16, 2026

TO: City Council

FROM: Alexander Nguyen, City Manager, (805) 385-7430, alexander.nguyen@oxnard.org

SUBJECT: Report on Measure O and Consideration of Placing the Renewal of a ½ cent Transactions (Sales) and Use Tax Measure on the November 3, 2026 Ballot.

RECOMMENDATION

That the City Council:

1. Receive a report on Measure O;
2. Consider adopting a resolution entitled: A RESOLUTION OF THE CITY COUNCIL OF THE CITY OF OXNARD, CALIFORNIA ORDERING AN ELECTION TO BE HELD ON NOVEMBER 3, 2026 TO CONSIDER THE ADOPTION OF A MEASURE ENTITLED "CITY OF OXNARD PUBLIC SAFETY, FINANCIAL STABILITY MEASURE (NO TAX RATE INCREASE)" AND REQUESTING THE COUNTY CLERK TO CONDUCT THE ELECTION, AND AUTHORIZING THE BOARD OF SUPERVISORS TO CANVASS THE RETURNS.

Please click the following link to view the required Measure M pre-recorded presentation video: https://youtu.be/epplLwFEF9k

BACKGROUND

Executive Summary

Staff recommends that the City Council place the "City of Oxnard Public Safety, Financial Stability Measure (No Tax Rate Increase)" on the November 3, 2026 ballot for Oxnard voters to decide.

The City Council does not have the authority to establish, extend or raise taxes, only to put a measure on the ballot for voter consideration. In other words, City Hall cannot change a sales tax rate; only the voters may do so.

The City of Oxnard continues to face long-term financial challenges related to deferred infrastructure maintenance while also providing essential services that our community relies on every day. As a full-service city serving more than 200,000 community members and approximately 10,000 businesses, Oxnard operates and funds its police and fire departments, streets and alleys maintenance, parks and public spaces, youth and senior programs, homeless response and disaster response. Over the past six years, the City has made significant progress rebuilding financial stability through local taxes that are solely for use in Oxnard for local programs and services. However, one of those funding sources will end soon.

Measure O is a ½ cent sales tax approved by 65% of Oxnard voters in 2008 that provides locally controlled funding for police and fire services, 911 emergency response, street paving and pothole repair, youth and senior

programs, and other vital services that our community relies on. All expenditures of funds raised by Measure O must be publicly approved by the City Council. Additionally, the Measure O Citizen Oversight Committee ensures that expenditures are in compliance with the voter-approved measure. Measure O funding is scheduled to end in March 2029 unless renewed by voters.

Since 2007, the City has regularly engaged and surveyed the community to provide insights on the wants and needs for Oxnard programs and services. Maintaining this connection with the community has been vital over the past 20 years, as the City has experienced the same challenges that many jurisdictions faced relating to the Great Recession (2007-2009), which was followed by California's budget crisis that removed local funding sources and the State's dissolution of Redevelopment Agencies (RDAs) in 2012, which reduced funding for infrastructure and affordable housing.

Most recently, the City experienced the 2020 pandemic recession that decimated the City's reserve funds and was followed by periods of supply chain disruption and inflation. Today, we face similar challenges where both the State and the Federal government are cutting budgets for programs that our community members continue to inform us are important priorities to our community. As budgets are cut for youth and senior programs, disaster preparedness, response, and recovery, and resources for public safety/911 response times, Oxnard voters face an important inflection point, where they could consider to maintain the current level of City programs and services without increasing taxes, or reduce these programs and services to reduce their taxes by letting Measure O expire.

According to a recent opinion survey conducted by FM3 that concluded on May 3, 2026, over 7-in-10 respondents continue to think the City needs additional funding for local services. Additionally, more than 8-in-10 believe that it is more important to maintain current services than to reduce taxes. These results are in addition to the more than 1,900 English and Spanish responses to Oxnard's "Join the Conversation" survey, which ranked the community's priorities and asked for suggestions for additional priorities.

A hypothetical ballot question tested by FM3 found that nearly 7-in-10 respondents would support a locally controlled services measure that maintains the current sales tax rate with no increase. Taken together with community engagement results and long-term financial planning, community members have indicated they feel it's very important to maintain local services.

With Measure O funds ending in March 2029, the City Council should consider placing a measure "City of Oxnard Public Safety, Financial Stability Measure (No Tax Rate Increase)" on the November 3, 2026 ballot so the community can decide whether to maintain this local funding source that supports current City programs and services. If approved by the voters, the sales tax rate within the City of Oxnard will remain the same as it is today at 9.25 percent.

HISTORICAL PERSPECTIVE

The downturn of the economy starting in mid-2007, coupled with the ongoing State diversion of funding caused a leveling-off of revenues and status quo budgets. This led to Council putting a ½ cent sales tax measure on the November 4, 2008 ballot. At that time, the City was already deferring maintenance and support of street and road repairs, park developments and maintenance, and recreation services and youth programs. At the time of approval, Measure O was expected to generate $10 million annually. This funding was approved by over 65% of the voters. As shown in this report, the funding has become an important funding source for municipal services, including street repair, recreation and homeless services, and public safety. The Measure O ½ cent sales tax is scheduled to sunset in March 2029.

Dissolution of California's Redevelopment Agencies (RDAs)

Despite the new revenue source, the dissolution of California's Redevelopment Agencies (RDAs) in 2012 completely reshaped municipal finance, creating immediate budget shocks and a permanent reduction in discretionary infrastructure spending and dedicated affordable housing funding. In addition, without redevelopment, Oxnard could no longer issue tax-increment bonds directly to support public projects (parks, plazas, parking structures, etc) or subsidize retail developments. Prior to February 2012, California RDAs captured over $5 billion annually in property tax growth, but with the dissolution of RDA, the funding was only allowed to be used to pay down old debts. Cities completely lost the authority to use any of that incoming revenue on new projects, economic development incentives, or community improvements, meaning these projects could only be funded out of General Funds, bonds, or public-private projects. Again, Measure O became an important funding source for Oxnard.

Change in Leadership & Pathway to Good Governance

The 2008 recession lasted about 18 months, but it took roughly seven years (2015) for California's economy to fully return to pre-recession employment and output levels. As the economy was stabilizing, Oxnard hit another rough patch.

- **New City Manager:** A new city manager was selected in 2014, and on the heels of a District Attorney investigation, he quickly ordered an Organizational Assessment. This assessment included a 3-phased approach based on three critical building blocks of good governance: a) Corporate Support, Accountability and Value Systems, b) Ensuring Excellent Services, and c) Innovation and Focus on the Future titled “Building Blocks of Good Government”. This Assessment resulted in a strategic roadmap for the City.
- **Audit Reports:** Between 2014 and 2021, the City had a total of 186 audit findings, of which 159 were unique non-repeated findings. The corrective action plan status, as of April 2024, has only one significant deficiency related to Information Technology (IT) General Control that remains outstanding. There are no material weaknesses, non-compliance, and no best practices findings that remain.
- **Recall Election**: After the City Council voted to increase wastewater rates by more than 5 percent, Aaron Starr started a recall campaign for three council members and the Mayor in 2018. The recall failed.

Structural Budget Deficit, COVID, and Various Lawsuits

In fiscal year 2019-2020, the Oxnard City Council made very tough choices in addressing a $9.2 million General Fund structural deficit. These decisions included laying off more than 30 employees, decreasing spending on a number of programs, closing the Carnegie Art Museum, and eliminating subsidized funding for the golf course and the Performing Arts Center. The decisions, along with subsequent increases to revenue, allowed the City to close the budget gap to an operating deficit of only $2 million as of February 2020. Following that, the COVID-19 pandemic recession slashed anticipated revenues for the City's General Fund and once again exposed Oxnard’s underlying fiscal conditions, which led to a sharp reduction in revenue. The pandemic also impacted Measure O revenue, further stressing the City’s General Fund. In order to balance the budget that year, the City was required to use almost all of its reserve funding of $17.7 million, leaving the City

with a rainy day fund of only $3.4 million (2.2% of operating expenses). Again, Measure O continued to be a lifeline for Oxnard residents.

Between the years of 2020-2025, the City was forced to engage in a series of lawsuits that diverted valuable city funds towards litigation costs. One particular case lasted over three (3) years and although the City was ultimately victorious at the California Court of Appeal, it forced the City to limit or delay the scope of certain projects supported by bond financing and fund the modified projects with existing reserves. While the City was in limbo, the City continued to "cash fund" projects and lost out on historically low interest rates. For example, in the fiscal year 24-25 budget, $16 million was approved for street funding and $3.3 million for the ERP project. Had we been able to utilize a municipal bond, the cash up front amount would've been much lower, and the Council could have chosen other investments for the community,such as restoring youth and senior services, parks projects, or a variety of other needed services and projects.

Long-Term Financial Improvements & Good Governance

In 2019, the City commissioned a Resident Satisfaction and Community Priorities Survey to solicit feedback from the community on a host of issues, including City service priorities, quality of life concerns, and general community attitudes towards government accountability and increasing City revenues in order to maintain City services.

The City highly values the varied perspectives of the public it serves and seeks to continue to earn the community's trust and confidence in City practices, including institutionalizing good government provisions related to fiscal accountability, ethics, and transparency.

The current City administration continues to work to make significant strides in reforming key areas of government. Below are just a few highlights.

1. ***Sunshine Ordinance (2018):*** The City Council adopted the Sunshine Ordinance in November 2018, requiring Council agendas and reports to be published to the public twelve days before a regular meeting of Council and seven days before a special meeting. The Sunshine Ordinance policy is a substantial increase from the state law requirement of posting agendas only 72 hours before a regular City Council meeting. This ensures that residents of Oxnard have timely access to information and an opportunity to address the various legislative bodies of the City before governmental decisions are made.
2. ***Voter Approval of Measure B (2020):*** Measure B was enacted on March 3, 2020 by more than 82 percent of voters. Titled the "Oxnard Government Accountability and Ethics Act", Measure B prohibited Council members and commissioners from accepting gifts and eliminating the influences of special interests in Oxnard by imposing contribution limits to candidates for elective office, and establishing term limits, posting of City financials and contracts.
3. ***Voter Approval of Measure E (2020):*** Following the voter approved 1 ½% sales tax in 2020, the Council has made slow and steady progress that is securing Oxnard's long-term financial stability including increasing revenues which has allowed use to replenish the cities reserves from as low as 2.2% ($3.4 million) in FY 20-21, to 16.6% starting in FY 24-25.
4. ***Adoption of Council's 2021- 2025 Five-Year Priorities****:* With feedback from more than 2,000 community members, the City Council adopted its Five-Year Priorities on March 16, 2021. The priorities focused on turning city hall into a high-functioning organization across the board, including restoring the levels of services needed for the community, and aspired to add a few major investments to make the city a better place for all.

5. ***Measure O Weaning Schedule (2022):*** The City Council adopted a Measure O Weaning Schedule on June 7, 2022, and updated this schedule on April 25, 2024. There were two stated purposes to weaning. First, in order to ensure the City can cover debt payments due past the sales tax's sunset (for the Fire Station 8 lease), the City needed to build up the fund balance in the few years before the sunset date. Second, at Measure O's termination, all ongoing programs would have to be moved to another funding source, eliminated, or modified, so the weaning effort was intended to make that reabsorption process smoother.
6. ***Recession Protection Fund (RPF) (2025)*:** The City Council created the RPF and allocated $14.9 million one-time available fund balance to provide the necessary buffer that can help the City mitigate the impact of the economic uncertainties generated by the federal economic policies.
7. ***Financial Stewardship (Various Years)****:*
    a. Overcame a $9.2 million structural budget deficit through a variety of measures including reducing the workforce, reducing or eliminating programs, and shutting the Caregine Museum.
    b. Utilized $20 million to pay down long term pension / OPEB (other post employment benefits) debt.
    c. In the City of Oxnard's 2024 Single Audit Report (covering the fiscal year ending June 30, 2024) the City received an unmodified (clean) audit opinion on its compliance with major federal programs
    d. The City has received nine S&P credit rating upgrades in the past four years, and all major funds now hold ratings of A or better, including the City's AA- issuer rating and A+ ratings for Water and Wastewater.
8. ***Adoption of Council's 2026 - 2030 Five-Year Priorities****:* On April 30, 2026, the City Council adopted its Five-Year Priorities, once again utilizing community feedback from the more than 1,900 responses to the City's "Join the Conversation" survey.

DISCUSSION

Oxnard provides a broad range of essential municipal services that residents rely on every day, including police and fire services, 911 emergency medical response, road paving and maintenance, youth and senior programs, park maintenance, homelessness response, infrastructure maintenance and other critical public services. Despite Oxnard voter approval of Measure E in 2020, restoring and sustaining these services continues to be challenging due to the items noted above, coupled with the continued inflation, rising service demands, and increasing infrastructure costs. As outlined in the 2027-2031 Capital Improvement Program, Oxnard faces significant and growing infrastructure needs, including aging streets, sidewalks, public facilities, and other core infrastructure that require substantial investment to rehabilitate, modernize, and maintain at safe and acceptable standards.

On April 30, 2026 and again on May 5, 2026, Mayor Mc Arthur requested a Measure O staff report and options for Measure O, and details regarding some considerations for when it sunsets.

The City publishes an annual Measure O report to the community that provides a high-level summary of how much sales tax revenue has been generated and how the funds are spent. The annual reports are published following Measure O's independent audit as part of the City's Annual Comprehensive Financial Report (ACFR) process.

Some highlights from recent Measure O annual community reports show:

1. Measure O is a local ½ cent sales tax approved by 65% of the voters in 2008.
2. Measure O revenues have ranged from $8.99 million (first full year) to $21.4 million (FY 23-24).
3. Measure O supports police, fire, and emergency response, youth recreation, after school and anti-gang prevention services, upgrading stormwater drains, senior services, increased code compliance, street paving and pothole repair, and other general services.
4. Measure N, as described above, created uncertainty towards Measure O funding until the Ventura County Superior Court ruled that a voter initiative could not legally dictate how an existing general tax should be spent after voters approved it.
5. Council adopted a "weaning off" Measure O schedule, whereby the City reduces Measure O spending towards ongoing expenses each year.
6. The Lease Revenue Bonds lawsuit, described above, impacted the "weaning off" Measure O schedule.
7. The FY 23-24 Community Report showed that Measure O is ending, however, 2/3rds of expiring Measure O funds do not have a dedicated replacement funding source.
8. From Fiscal Year 2022-2023 through FY 2025-26, $36 million in Measure O funds have been budgeted for street resurfacing projects.

A few specific projects and programs to highlight from recent Annual Measure O annual community reports show:

Public Safety

- Supports the Public Safety 911 Computer -Aided Dispatching (CAD) system and Law Enforcement Record Management System (LERMS) - systems critical for processing calls and assisting dispatchers to send first responder resources to where they are needed.
- Funded the advanced life support (ALS) and paramedic program including the staffing, averaging response times under 5 minutes.
- Funded the replacement of end-of life fire engines and 85 handheld radios.
- Funded up to 16 police officers serving in the capacity of the neighborhood policing team (NPT) - officers specialties in neighborhood problem solving and proactive engagement including responding to more than 2500 homeless calls for service annually.

Street Resurfacing & Infrastructure Improvements

- Supports the repairing and reconstructing of deteriorated alleys, neighborhoods and major streets and corridors throughout Oxnard.
- Supports multi-year Capital Improvement Program (CIP) projects, with approximately $36 million budgeted between FY22-23 through FY25-26 for road improvements.
- Supports pothole repair, asphalt purchases, sidewalk grinding, traffic signal repairs.

Parks:

- Funds the majority of the operations and maintenance of College Park and East Village Park.
- Funds support staff to monitor sports at athletic fields.

Homeless Services

- Funded the operation of the Navigation Center, providing shelter and services for the most vulnerable members of our community.

Seniors

- Supports the senior nutrition program, providing daily congregate hot meals at senior centers and home delivery.

Youth

- Continues to fund various youth programs, including the Mobile Activity Center (MAC) summer program, Day at the Park for Special Needs, Oxnard Afterschool ASES program, and other recreational services.
- Supports the City Corp Townkeeping program, which engages youth in neighborhood cleanup and beautification projects.
- Funded wifi access at local libraries and the integrated library system; currently funds the Homework Center at the Main Library.
- Supported Police Activity League (PAL) youth programming, and
- Funded the Pre-School To You program in city parks.

EXISTING NEEDS

The City proactively assesses and manages costs while maintaining a strong commitment to long-term financial planning, fiscal stability, and uninterrupted service delivery to the community. Over time, the City has implemented a variety of efficiency measures, reduction of workforce, reducing or elimination programs, service streamlining, deferred or extended capital improvements, capital expenditures (e.g. vehicles) and maintenance schedules (inclusive of Fire Stations, Fire Engines, Park improvements, alleyway maintenance, etc.), leveraging technological improvements to enhance operational efficiency (multi-year rollout of the enterprise resource planning (ERP) system that modernizes Oxnard's nearly 30-year-old IT infrastructure), and the active pursuit of grant funding and public-private partnerships.

Despite these efforts, the City continues to face significant unfunded infrastructure and facility needs, unfunded state mandates, decreasing Federal and State funding support, and growing community needs resulting in increasingly visible impacts to residents and increased future costs in terms of deferred maintenance. Some of the current impacts include:

Roadways: According to City's "2024 Citywide Pavement Management Program" (dated May 2025) the City currently owns and maintains approximately 440.33 total centerline miles of streets and alleys (approximately 1,036 lane miles of streets) across all functional street classifications, as follows:

- Arterial and Collector – 128.31 centerline miles
- Residential – 246.91 lane miles centerline miles
- Alley – 63.11 centerline miles

This equates to a total of 95,427,081 square feet of pavement in the City's network. As outlined in the most recent Pavement Management Program (PMP) Update, streets with a Pavement Condition Index (PCI) of 71 or above are classified as being in "good" or "excellent" conditions, while streets with a PCI below 50 are classified as being in "poor" or "failed" conditions. Currently the City's overall average PCI is 67, up from 63 a few years ago, but still places the City within an at-risk position for overall network health. Specifically, the alleyways in the City have an overall PCI 40, close to the "failed" category. The PMP Update provides theoretical funding scenarios to maintain or increase the citywide PCI. Just to maintain the current citywide average PCI of 67, the estimated funding amount needed yearly is approximately $18 million. To increase the citywide PCI to 70 over a ten-year period (from 2024-2034) would require close to $22 million in annual funding. These costs are in 2024 numbers and are only escalating due to inflation. These metrics do not

include approximately 445 linear miles of sidewalks of varying age and condition which the City maintains and is required to preserve.

Park amenities: The effect of aging City park amenities has begun to show impact to the community. The restrooms at Johnson Creek Park and Colonia Park have reached the end of their usable lifespan and are in need of replacement but do not have identified funding in the FY 2026/27 CIP budget. In addition to these two parks, restrooms and other park amenities (e.g., playground equipment, sports courts, lighting, etc) at various parks in the City are also aging and, in many cases, approaching the end of useful life. Without significant reinvestment and ongoing maintenance, these amenities could face closures or replacement needs in the future. It is also important to note that some parks (Sports Park and College Park), as well as future elements at Campus Park and Durley Park remain unfunded or unfinished.

General care for amenities: Ongoing maintenance throughout the City continues to improve, however, recent CIP funding requests for existing infrastructure improvements such as the Advanced Alley Maintenance project, the Citywide Sidewalk Repair project, the Bridge Maintenance Citywide project, the Citywide Streetlight Asset Management Program project, and the Main Library Flooring project, to name a few, have not been approved in recent budgets due to the lack of on-going revenue to sustain such efforts. Additional resources could also support increased frequency and expanded scope of weed abatement and sweeping in alleys, landscaping replacements, and trash abatement efforts in parks, medians, sidewalks, and other public areas, as well as bathroom maintenance in parks. These efforts help preserve well-maintained, safe, and welcoming community spaces for residents and visitors.

Capital Improvement Plan (CIP): Currently, the City's FY 2027-31 CIP contains 250 projects (168 existing, 63 new, and 19 reclassified). Of these, there are many non-utility funded projects not currently receiving General Fund or Measure O funding due to the limited resources available, which amounts to approximately $30 million in just FY 26-27. While some of these projects would provide direct, visible benefits for residents to enjoy, others would deliver important behind-the-scenes improvements that support public safety, infrastructure reliability, and long-term community sustainability. Some of those include Police Headquarters parking lot rehabilitation, Fire Station overhead door replacements, and Oxnard Performing Arts Center seismic improvements, among many other City facility infrastructure repairs, rehabilitation, and/or replacements.

Other non-infrastructure challenges: The City must compete in the public sector labor market and keep pace with rising rates for insurance, labor, materials, and energy.

Staff believes the City needs to maintain ongoing local revenue to continue its current service levels, address deferred maintenance, accomplish City Council strategic priorities, and meet the evolving needs of the community. Residents consistently provide feedback that protecting the public's safety, maintaining 911 response times, addressing homelessness and providing youth and senior programs are important to the community. Maintaining Oxnard's locally controlled ½ cent transactions and use tax continues a reliable source of General Fund revenue for City services and infrastructure investments. Revenue generated by the measure would stay local, with all funds used exclusively for Oxnard and protected from being redirected by the State or County. This is especially important given uncertainties with federal and state financial policy and the broader downstream impacts on local services.

COMMUNITY ENGAGEMENT

In recent years, the City has conducted extensive outreach efforts to engage the community regarding service priorities, fiscal challenges, and long-term needs. Through Oxnard's 2019 "Join the Conversation" survey, community members have provided ongoing feedback related to public safety, homelessness, infrastructure, parks maintenance, youth and senior services, and other priorities.

Since relaunching the "Join the Conversation" survey process in 2025, nearly 2,000 residents have participated through ranked survey responses and written comments submitted in both English and Spanish. Community outreach efforts included both online and written responses solicited through attendance at 13 neighborhood council meetings, four city mailers distributed between September 2025 and April 2026, social media support and digital engagement.

Additionally, the City commissioned two community surveys conducted by Fairbank, Maslin, Maullin, Metz & Associates (FM3) Research, which included 600 resident interviews regarding City services, community priorities, and long-term funding considerations. The first survey results were released in April 2025 and published on the City website, which found that Oxnard residents expressed positive attitudes towards City government and the way it provides services. The second survey, completed in May 2026 and published with this report, provides additional insights into resident opinions on city services and continuing existing local revenues for the City of Oxnard.

Together, these extensive outreach efforts demonstrate strong engagement and continued resident interest in maintaining essential local services in Oxnard. The outreach results reflect the community's interest in maintaining Oxnard's long-term financial stability while maintaining local control of its programs and services.

As Measure O approaches its scheduled expiration in 2029, the City Council should consider the long-term impacts that the loss of $20 million in local funds would have on city services. Given the extensive community engagement, staff recommends providing Oxnard voters the opportunity to choose whether the existing ½ cent funding source should continue to maintain current service levels and be used to continue investing in the community priorities that have been identified through the City's outreach efforts.

Therefore, staff recommends that the City Council provide residents the opportunity **to vote** on the "**City of Oxnard Public Safety, Financial Stability Measure (No Tax Rate Increase)"** by placing this measure on the November 3, 2026 ballot.

OXNARD'S BUDGET

Despite the City's now stable General Fund reserves, the City's long-term financial well-being remains challenging. With the impacts of historical state takeaways of local funds, rising costs to maintain basic services, and the expiration of Oxnard's local funding, the City began to plan for this significant loss of revenue impacting all service areas in the near future, including 911 emergency response, protecting the public's safety, maintaining fire protection and crime prevention, programs for youth and seniors, addressing homelessness keeping parks and public areas safe and clean, facility maintenance, and programs for youth and seniors. If this renewal measure is not approved, then City staff will present options to address the loss of approximately $20 million in revenue beginning in 2029.

The City's Measure O ½ cent sales tax is scheduled to end in March 2029. As of the date of writing of this report, the FY 2026-27 Measure O Proposed Budget total expenses are $19.5 million and include a $10.5 million transfer to the Capital Outlay Fund to pay for projects. Of that amount, $8.2 million is identified in the Capital Improvement Program (CIP) page in the City's Proposed Budget. As part of the Council-adopted Measure O Weaning Schedule, the City has intentionally reduced ongoing operational budgets funded by Measure O, and instead directed one-time Measure O funding towards capital improvement projects targeting deferred maintenance.

Given the community survey results and the City's long-term budget forecast, staff recommends the Council adopt a resolution to place a ballot measure on the November ballot related to the renewal of a local transaction

and use tax. If approved by voters, approximately $20M would stay in Oxnard, and could not be taken by the State or the County.

TRANSACTIONS (SALES) AND USE TAX

Based on current projections, if approved by voters, the renewal of the existing ½ cent sales tax is anticipated to continue providing approximately $20 million annually for general governmental purposes. The measure would also continue the accountability provisions of Measure O, including independent audits, public reporting requirements, and citizen oversight to promote transparency and accountability.

If maintained by the voters, Oxnard's overall sales tax rate would remain the same, and be generally comparable to neighboring jurisdictions, including Santa Paula and Port Hueneme. Additionally, Oxnard's sales tax rate remains within the mid-range of rates currently adopted by 483 cities throughout California. As of April 1, 2026, 145 California cities have sales tax rates higher than Oxnard's 9.25% rate, while 29 cities currently share the same rate.

While several Ventura County cities have lower sales tax rates, many of those jurisdictions fund important services through property taxes. For example, Camarillo and Thousand Oaks fund their fire protection services through their property tax allocations. Many parks and recreation services in Camarillo and Thousand Oaks are also funded through property tax assessments that are separate from the city's General Fund. Meanwhile, Oxnard and Ventura are full-service cities that directly operate and fund their police and fire departments, providing greater operational oversight for delivering public safety services. As a result, sales tax rates alone do not reflect how local services are funded in each jurisdiction.

MEASURE OVERVIEW

If the Transactions and Use Tax were to be renewed at the ½ cent rate by the voters of Oxnard, the measure would continue to provide a protected and reliable source of revenue to maintain and prevent cuts to critical resident services and give Oxnard local control over local funds for local needs. Staff recommends the City Council consider placing the renewal measure for maintaining Oxnard public safety, financial stability (no tax rate increase) on the ballot to ask voters the following question:

CITY OF OXNARD PUBLIC SAFETY, FINANCIAL STABILITY MEASURE (NO TAX RATE INCREASE).	
Shall the measure maintaining City of Oxnard's services without raising current tax rates, including protecting public safety, maintaining 911 emergency response/fire protection; repairing streets/potholes; addressing homelessness; maintaining programs for vulnerable seniors; anti-gang/ after-school programs; other general services, by renewing an existing 1/2¢ sales tax, providing $20,000,000 annually until ended by voters, requiring oversight, audits, public spending disclosure, all funds for Oxnard, be adopted?	YES NO

The Council is not, by this action, voting on whether the sales tax should be continued, but rather whether the voters should be given the opportunity to decide whether to continue the existing funding source that supports current City service levels and programs that residents have communicated are important to them. The voters are the only ones who may approve a sales tax measure such as this one. Placing a revenue measure on the

ballot will give the City's voters the opportunity to decide the level of service the City provides. The ballot measure under consideration has the following key components:

- The Transactions and Use Tax Measure would be extended, providing local funding at the existing ½ cent sales tax rate until ended by voters
- All funds generated by the measure would be used to maintain City services with no tax rate increase
- Independent audits of revenues generated would continue to be required
- The Measure would include continued citizens' oversight
- All revenues would be kept local permanently

Voter approval of the measure entitled the "City of Oxnard Public Safety, Financial Stability (No Tax Rate Increase)" would remove Measure O's existing sunset date of February 28, 2029 so that a ½ cent sales tax would continue to generate approximately $20 million annually. Because the existing voter-approved local funding is a tax, the renewal of a ½ cent sales tax can only be adopted by the voters. To be clear, this measure would not add a ½ cent per dollar tax on top of the current Measure O ½ cent per dollar sales tax - it would simply remove the sunset date of February 29, 2029 from the sales tax.

TAX MEASURE PROCESS

The City Council does not have the authority to establish, extend or raise taxes, only to put a measure on the ballot for voter consideration. In other words, City Hall cannot change a sales tax rate, only the voters may do so. In order to place a tax measure on the November 3, 2026 ballot, the City Council must approve the submission of the measure to the voters by a 2/3 vote (at least five affirmative votes) by Resolution. The Resolution also includes the text of the ballot question that will be presented to voters as required by the Elections Code. If approved by the City Council and adopted by a majority of the electorate, the tax would be effective no sooner than the first day of the calendar quarter, commencing more than 110 days after the adoption of the ordinance by the voters.

BALLOT MEASURE ARGUMENTS/REBUTTALS

Pursuant to the California Elections Code, ballot measures may include written arguments and rebuttal arguments submitted in support of or opposition to the measure for inclusion in the voter information guide. The City Attorney is also required to prepare an impartial analysis of the measure.

CITY WEBSITE

Oxnard's "Election Information" webpage (www.oxnard.gov/city-clerks-office/election-information) serves as a centralized resource for local election information, including voter registration resources, information for candidates, election notices, ballot information, and campaign finance disclosure filings. The webpage is updated throughout the election cycle for increased transparency and public access to important election-related information and resources.

STRATEGIC PRIORITIES

This agenda item supports the Organizational Effectiveness strategy. The purpose of the Organizational Effectiveness strategy is to reinforce, stabilize, improve, and strengthen the organizational foundation of the City in order to build a modern, high-functioning City government that effectively and efficiently supports the operating departments in providing high-quality services and programs for our residents and businesses.

FINANCIAL IMPACT

The cost of Council approving the placement of a transactions (sales) and use tax measure on the November 3, 2026 ballot is estimated to be $134,000 plus legal publication costs.

If approved by Oxnard voters, the renewal of a ½ cent sales tax will continue to provide approximately $20 million per year. If not renewed by the voters, in the FY 27-28 budget process, Council will need to consider budget decisions to account for the annual loss of approximately $20 million beginning in March of 2029.

COMMITTEE OUTCOME

This item did not originate in Committee.

Prepared by: Ashley Golden, Assistant City Manager

ATTACHMENTS

1. Attachement 1 - Resolution (revised)
2. Attachment 2 -- Presentation_Opinions on City Services and Continuing Existing Local Revenue for the City of Oxnard
3. 260616 Presentation on Measure O & Consideration of Ballot Measure

RESOLUTION NO. ____

A RESOLUTION OF THE CITY COUNCIL OF THE CITY OF OXNARD, CALIFORNIA ORDERING AN ELECTION TO BE HELD ON NOVEMBER 3, 2026 TO CONSIDER THE ADOPTION OF A MEASURE ENTITLED "CITY OF OXNARD PUBLIC SAFETY, FINANCIAL STABILITY MEASURE (NO TAX RATE INCREASE)" AND REQUESTING THE COUNTY CLERK TO CONDUCT THE ELECTION, AND AUTHORIZING THE BOARD OF SUPERVISORS TO CANVASS THE RETURNS

WHEREAS, on November 4, 2008, the People of the City of Oxnard adopted the "City of Oxnard Vital Services Transactions (Sales) and Use Tax Ordinance", commonly referred to as "Measure O"; and

WHEREAS, Measure O has provided funding for core community programs and services within the City; and

WHEREAS, the City of Oxnard is committed to maintaining current programs and services without increasing existing taxes; and

WHEREAS, without this measure, Oxnard would lose approximately $20 million per year for core services including public safety, 911 and fire services, senior support, homelessness programs, and clean and safe public spaces essential to the City's long-term financial stability; and

WHEREAS, State and County funding cuts have jeopardized services that Oxnard's growing senior population depends on for health and wellness programs and hot, nutritious meals; and

WHEREAS, continued local funding will sustain after-school, summer, and gang prevention programs that keep thousands of Oxnard youth safe, supervised, and out of trouble; and

WHEREAS, over 70% of Fire Department calls involve medical emergencies, and cuts to local funding would compromise the firefighters, paramedics, and equipment needed for 911 rapid response to save lives; and

WHEREAS, without this measure, Oxnard would lose millions of dollars which public safety programs rely on, forcing some funding cuts to police and fire departments, which may result in longer 911 response times; and

WHEREAS, this measure will not increase current tax rates, and maintains Measure O's existing requirements that every dollar be used in Oxnard, with full public spending disclosure, independent annual audits, and citizen oversight of all spending; and

WHEREAS, the City Council desires to submit a measure entitled "City of Oxnard Public Safety, Financial Stability Measure (No Tax Rate Increase)" to voters of the City at an election to be held on Tuesday, November 3, 2026, and to be consolidated with any other election to be held on that date; and

WHEREAS, the proposed measure entitled "City of Oxnard Public Safety, Financial Stability Measure (No Tax Rate Increase)" is more completely described in the ordinance attached hereto as Exhibit A and incorporated herein by this reference.

NOW, THEREFORE, BE IT RESOLVED BY THE CITY COUNCIL OF THE CITY OF OXNARD AS FOLLOWS:

Section 1. The City Council hereby finds and determines that the foregoing recitals are true and correct.

Section 2. The City Council hereby proposes the "City of Oxnard Public Safety, Financial Stability Measure (No Tax Rate Increase)", attached hereto as Exhibit A and incorporated herein by this reference.

Section 3. The City Council hereby calls an election on Tuesday, November 3, 2026 (the "Election") and orders, pursuant to Elections Code Section 9222, that the "City of Oxnard Public Safety, Financial Stability Measure (No Tax Rate Increase)" be submitted to the voters at that election.

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Section 4. The ballot question shall be substantially as follows:

CITY OF OXNARD PUBLIC SAFETY, FINANCIAL STABILITY MEASURE (NO TAX RATE INCREASE). Shall the measure maintaining City of Oxnard's services without raising current tax rates, including protecting public safety, maintaining 911 emergency response/fire protection; repairing streets/potholes; addressing homelessness; maintaining programs for vulnerable seniors; anti-gang/after-school programs; other general services, by renewing an existing 1/2¢ sales tax, providing $20,000,000 annually until ended by voters, requiring oversight, audits, public spending disclosure, all funds for Oxnard, be adopted?	YES	
	NO	

Section 5. The text of the proposed "City of Oxnard Public Safety, Financial Stability Measure (No Tax Rate Increase)" shall be printed in the ballot materials; a copy of the measure shall be available for public inspection at the City Clerk's office located at 300 West Third Street, 4th Floor in the City of Oxnard. If not provided in the voter guide, upon request, copies will be sent at the expense of the City. A majority of votes cast is required for the measure to pass.

Section 6. This Resolution is adopted pursuant to Elections Code Section 10403 requesting that the Board of Supervisors of Ventura Code, pursuant to Elections Code Section 10401, order that this election of the City of Oxnard be consolidated with the statewide general election to be held on November 3, 2026, which consolidated election shall be held and conducted in the manner prescribed in Elections Code Section 10418.

Section 7. Pursuant to Elections Code Section 10411, the Board of Supervisors is authorized to canvass the returns of the election to be held within the boundaries of the City of Oxnard on November 3, 2026.

Section 8. Pursuant to Elections Code Section 10002, the Board of Supervisors is requested to permit the County Clerk to render the services and supplies shown on Exhibit B, which is attached hereto and made a part hereof, and any and all other services

and supplies necessary to complete the election on November 3, 2026. The City shall pay the reasonable cost of services and supplies rendered by the County Clerk.

Section 9. The City Manager is authorized to execute all documents and to perform all necessary acts to enter into one or more agreements for the provision of election services consistent with this Resolution.

Section 10. The ballots to be used at the election shall be in the form and content as required by laws.

Section 11. The City Council directs the City Clerk to transmit a copy of the measure to the City Attorney and directs the City Attorney to prepare an impartial analysis of the measure pursuant to Elections Code Section 9280 in the manner required by law. Any person or persons may file an argument either for or against the ballot measure. An argument for or against the measure shall not exceed 300 words in length. If more than one argument is submitted for the measure, or more than one argument against the measure, the City Clerk shall select the argument to be included with the ballot materials. Rebuttal arguments shall be permitted pursuant to applicable law.

Section 12. Elections Code Section 9282(b) permits the City Council to authorize members of the City Council to file a written argument for or against any City measure. Pursuant to Elections Code Section 9282(b), the City Council does not authorize any member of the City Council (including the Mayor) to file a written argument for or against the measure described in Section 2 of this Resolution. The City Council and its members (in their official capacities as members of the City Council or Mayor) are not authorized pursuant to Elections Code Section 9282(b) to file a written ballot argument either for or against the proposed measure described in Section 2 of this Resolution in their official capacity. As such, no Councilmember or Mayor shall use his or her title as a Councilmember or Mayor for identification purposes as an author and signor in the signature block of a ballot argument (as described in Elections Code Section 9282) or rebuttal argument (as described in Elections Code Section 9285) relating to the proposed measure described in Section 2 of this Resolution. The provisions of this section shall only apply to the election called in this Resolution for the proposed measure described in Section 2 at the election to be held on November 3, 2026.

Section 13. In all particulars not recited in this Resolution, the election shall be held and conducted in the manner required by law.

Section 14. The City Council shall declare the results of the election called for by this Resolution at its first regular meeting following the certification of the election results.

Section 15. The City Clerk is hereby directed to file a certified copy of this Resolution with the Board of Supervisors and the County Clerk.

Section 16. The City Clerk shall publish a copy of this Resolution in a newspaper of general circulation within fifteen (15) days after the adoption of the Resolution.

Section 17. This Resolution shall be effectively immediately upon adoption.

APPROVED and ADOPTED this 16th day of June, 2026.

AYES:

NOES:

ABSENT:

ABSTAIN

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Luis Mc Arthur, Mayor

ATTEST:

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Lourdes A. López, City Clerk

APPROVED AS TO FORM:

_____
Stephen M. Fischer, City Attorney

Exhibit A

ORDINANCE NO. _____

AN UNCODIFIED ORDINANCE OF THE CITY OF OXNARD, CALIFORNIA ADOPTING THE "CITY OF OXNARD PUBLIC SAFETY, FINANCIAL STABILITY MEASURE (NO TAX RATE INCREASE)", WHICH REMOVES THE SUNSET PROVISION OF MEASURE O (CITY OF OXNARD VITAL SERVICES TRANSACTIONS (SALES) AND USE TAX ORDINANCE) SO THAT MEASURE O'S EXISTING, VOTER-APPROVED SALES TAX SHALL CONTINUE UNTIL ENDED BY THE VOTERS, WITH OVERSIGHT, INDEPENDENT AUDITS, PUBLIC SPENDING DISCLOSURE, AND WITH ALL FUNDS FOR OXNARD

WHEREAS, on November 4, 2008, the People of the City of Oxnard adopted the "City of Oxnard Vital Services Transactions (Sales) and Use Tax Ordinance", commonly referred to as "Measure O"; and

WHEREAS, Measure O has provided funding for core community programs and services within the City; and

WHEREAS, the City of Oxnard is committed to maintaining current programs and services without increasing existing taxes; and

WHEREAS, Measure O has an existing sunset date of March 31, 2029; and

WHEREAS, without this measure, Oxnard would lose approximately $20 million per year for core services including public safety, 911 and fire services, senior support, homelessness programs, and clean and safe public spaces essential to the City's long-term financial stability; and

WHEREAS, State and County funding cuts have jeopardized services that Oxnard's growing senior population depends on for health and wellness programs and hot, nutritious meals; and

WHEREAS, continued local funding will sustain after-school, summer, and gang prevention programs that keep thousands of Oxnard youth safe, supervised, and out of trouble; and

WHEREAS, over 70% of Fire Department calls involve medical emergencies, and cuts to local funding would compromise the firefighters, paramedics, and equipment needed for 911 rapid response to save lives; and

WHEREAS, without this measure, Oxnard would lose millions of dollars which public safety programs rely on, forcing some funding cuts to police and fire departments, which may result in longer 911 response times; and

WHEREAS, this measure will not increase current tax rates, and maintains Measure O's existing requirements that every dollar be used in Oxnard, with full public spending disclosure, independent annual audits, and citizen oversight of all spending; and

WHEREAS, the People of the City of Oxnard wish to amend the provisions of Measure O to remove its twenty-year sunset date so that Measure O's existing, voter-approved sales tax will continue until ended by the voters.

NOW, THEREFORE, the People of the City of Oxnard do ordain as follows:

Section 1. TITLE. This Ordinance shall be known as the "City of Oxnard Public Safety, Financial Stability Measure (No Tax Rate Increase)". The City of Oxnard shall be referred to as "City". This Ordinance shall be applicable in the incorporated territory of the City.

Section 2. PURPOSE. This Ordinance is adopted to amend the provisions of the "City of Oxnard Vital Services Transactions (Sales) and Use Tax Ordinance" (Ordinance No. 2779, commonly known as Measure O) to remove its sunset provisions so that Measure O's existing, voter-approved ½¢ sales tax continues until ended by voters.

Section 3. REPEAL OF PART 4 OF ORDINANCE NO. 2779. Part 4 of Ordinance No. 2779 entitled "TWENTY-YEAR SUNSET" is hereby repealed. Except for the repeal of Part 4 of Ordinance No. 2779, all remaining provisions of Ordinance No. 2779 shall remain in full force and effect until ended by the voters.

Section 4. ENJOINING COLLECTION PROHIBITED. No injunction or writ of mandate or other legal or equitable process shall issue in any suit, action, or proceeding in any court against the State or the City, or against any officer of the State or the City, to prevent or enjoin the collection under Ordinance No. 2779 (which this Ordinance amends) or Part 1.6 of Division 2 of the Revenue and Taxation Code, of any tax or any amount of tax required to be collected pursuant to Ordinance No. 2779.

Section 5. SEVERABILITY. If any section, subsection, sentence, clause or phrase of this Ordinance is for any reason held to be invalid, such decision shall not affect the validity of the remaining portions of this Ordinance. The People of the City of Oxnard hereby declare that they would have adopted this Ordinance and each section, subsection, sentence, clause and phrase thereof, irrespective of the fact that any one or more sections, subsections, sentences, clauses or phrases be declared invalid, and intend that the invalid portions should be severed and the balance of the Ordinance enforced.

Section 6. EFFECTIVE DATE. Given that this Ordinance amends Ordinance No. 2779 that relates to the levying and collecting by the City of retail transactions and sale use taxes, this Ordinance is hereby adopted and effective immediately upon approval by the voters of Oxnard.

Section 7. ACTIONS BY CITY CLERK. Upon approval by the voters, the City Clerk shall certify to the passage and adoption of the Ordinance and shall cause it to be published accordingly to law.

This Ordinance was approved and adopted by the People of the City of Oxnard at the November 3, 2026 statewide election.

PASSED and ADOPTED by the voters of the City of Oxnard on November 3, 2026.

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Luis Mc Arthur, Mayor

ATTEST:

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Lourdes A. López, City Clerk

APPROVED AS TO FORM:

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Stephen M. Fischer, City Attorney